COURSE

OCR GCSE (9-1) in Business (J204)

Sources of finance

5. Finance · 5.2 Sources of finance

Revision for 5. Finance: each firm works it out on its own deals.

Class **OCR GCSE Business (J204)** Topic **Sources of finance**

THE LESSON

Setup 3 min

Round 1 Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Total to pay back**	TASK 2 **Short-term sources**

Round 2 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Rank total interest**	TASK 4 **Loan or overdraft**	**B2B deal**

Round 3 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Loan or own profit**	TASK 6 **Cheaper loan cost**	**B2B deal**

Final questions 3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Same interest every year.

Total to pay back?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Loan	**£50,000**
Interest, each year	**3%**
Repaid over	**4 years**

METHOD

Total = loan + years × yearly interest

£50,000 + 4 × £1,500 = £56,000

Why: The loan costs £6,000 in interest.

Task 2

ROUND 1

You need £8,000 for three weeks to cover a gap.

Which two sources fit best?

PICK TWO

- ✔ **A bank overdraft**
- ○ A five-year bank loan
- ○ A mortgage
- ○ Selling shares
- ✔ **Trade credit from a supplier**

Why: Short-term needs suit short-term finance.

Task 3

ROUND 2

Three ways to borrow £10,000, simple interest.

Order by total interest, cheapest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Card: 24% a year for 3 months**
2. **Overdraft: 15% a year, 6 months**
3. **Loan: 8% a year for 2 years**

Why: Interest: £600, £750, £1,600.

Task 4

ROUND 2

Loan or overdraft?

Extra cost of the overdraft?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Money needed	**£20,000**
Loan interest, for the year	**4%**
Overdraft charge, a month	**£200**
You need it for	**7 months**

METHOD

Extra cost = months × overdraft charge − loan interest

7 × £200 − £800 = £600

Why: The overdraft costs £600 more here.

Task 5

ROUND 3

You want a £30,000 workshop ramp. You have £40,000 of profit kept in the firm, not needed elsewhere.

How should you pay, and why?

PICK A OR B AND GIVE A REASON

- ○ Take a loan at 9%
- ✔ **Use the profit kept in the firm**

Why: Retained profit costs no interest and need not be repaid.

Task 6

ROUND 3

Borrow £25,000.

Total cost of the cheaper loan, with fees?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Bank interest, each year	**7%**
Bank fee, one-off	**£400**
Credit firm, interest a year	**9%**
Repaid over	**4 years**

METHOD

Each loan: interest × years (+ fee); take the cheaper

Bank £7,400; credit firm £9,000; cheaper £7,400

Why: The bank is cheaper, even with the fee counted.

Final questions

6
questions for each pupil

150
Level 2 Business questions

3
of them on sources of finance

The game draws 6 of the 150 Level 2 questions; these 3 are about sources of finance.

1 A normally healthy dealer has a short, forecast cash gap before customers pay. Which source may be most suitable?
An overdraft with a limit covering the temporary gap.

2 A dealership wants to finance a workshop extension expected to last many years. Why might a long-term loan be suitable?
Repayments can be spread over the asset's life.

3 A profitable private company uses accumulated profit to buy diagnostic equipment. What source of finance is this?
Retained profit.